

period of time. Everyone has overheard a conversation where someone claimed they made a fortune by jumping on a tip they picked up at the golf course. However, people do not brag about how many times they lost a fortune by doing just that.

Acting like a trader instead of an investor is a mistake. What is the difference? A trader is someone who tries to make money on short-term buys and sales by taking advantage of fast changes in the market. An investor, on the other hand, views the short-term fluctuations in the market as irrelevant, and follows a high-quality buy and hold policy. Nick got into trouble by acting as a trader instead of following a strategy of long-term investments.

Nick had turned twenty-two in the fall of 1991. He realized he had accumulated several certificate of deposits (CD) at various banks. Whenever he received a birthday or Christmas gift of money, he would deposit it in a CD. Upon graduation from college, Nick received numerous cash gifts, which he also promptly added to his CDs. He was getting tired of seeing his CD rates drop when it seemed like the mutual funds he kept hearing so much about were performing much better. He had watched his six-month CD rates go from almost 10 percent in 1989 to barely 8 percent in 1990, and now the banks were dropping to less than 6 percent. It was time to do something.

In October, several of his CDs matured and Nick decided to invest his money elsewhere. He started by buying several of the most popular money magazines and checked the results of the best performing mutual fund poll for the previous year. The returns (increases in value) listed were impressive. Certainly these funds were winners; their managers must be geniuses. He proceeded to invest a quarter of his CDs (at least he was not going to make the mistake of putting all his eggs in one basket) in a biotech fund that had just begun operating the year before.

By the end of 1992, the biotech sector had lost about 20 percent for the year. This is not uncommon. Often, when one

